

## Questions – Group Case Study #2

### Nike, Inc.: Cost of Capital, #UV0010

In this case you will evaluate an analyst's estimate of Nike's cost of capital. As you'll see, the below questions ask you to recalculate the inputs for WACC. The reason for this is that there are some errors (or areas of concern) with how WACC was calculated by the analyst. At the end of the case, you'll be asked to summarize why your group made different choices than the analyst. **As before, your group report should be written in the form of answers to the below questions using MS Word or MS PowerPoint.** When finished, please have one member of the group upload your solutions via PDF, MS Word, or MS PowerPoint file to Canvas. I will grade it directly on Canvas.

This group case will be worth 15 points. Each part will be worth 3 points.

#### **In your analysis, please answer the following questions:**

1. Why is it important for Kimi Ford to estimate Nike's cost of capital? And do you agree with Joanna's assessment that it is only necessary to calculate one WACC for Nike?
2. What is your estimate of Nike's cost of debt? *[Hint: For this question, you should use the bond valuation formula to back out the YTM of Nike's long-term bonds.]*
3. What is your estimate of Nike's cost of equity? *[If using CAPM for this question, ignore the arithmetic mean provided in Exhibit 4 and instead use the geometric mean that is provided. And, you should ignore the earnings capitalization model.]*
4. What is your estimate of Nike's WACC? *[Hint: It's okay to use the 38% tax rate.]*
5. Using your answers above, please summarize two areas where your group made different choices than Joanna Cohen and why you think your choices are better. *[I.e., what did you think she was doing incorrectly in her calculations?]*

#### **For simplicity, you can make the following assumptions in your analysis:**

- The face value of Nike's bonds is \$100.

**Note:** After we discuss the above questions in class, we will then discuss how one values Nike using the WACC. If your group finishes early and wants to think about this, please do so.